

Standard Operating Procedure: Inventory Management

SOP-INV-2025 | Version 1.2 | Operations Department

1. Purpose & Scope

This Standard Operating Procedure (SOP) defines the operational guidelines for managing inventory levels, processing replenishments, and maintaining stock accuracy across all retail warehouses and fulfillment centers.

Maintaining accurate stock logs is critical for customer satisfaction and overall supply chain efficiency. All warehouse team members must strictly follow these protocols.

2. Reorder Process & Triggers

Inventory replenishment must be executed dynamically. The system reviews stock levels daily against the predefined 'Reorder Point' for each SKU.

When stock levels fall to or below the Reorder Point, an automated restock order is generated. The system must order the exact quantity specified as 'Reorder Quantity' for the product to restore safety stock buffer levels.

Emergency purchase orders can only be approved by the Inventory Manager if demand spikes unexpectedly.

3. Stock Management & Auditing

Receiving inbound inventory requires checking packing slips against purchase orders. Any variance in item counts or damage must be documented and submitted to procurement within 24 hours.

Regular cycle counts must be performed weekly. A full warehouse physical inventory audit is conducted semi-annually to reconcile database records with actual physical items and correct accounting books.